

complaint

Mr F complained because Zurich Insurance PLC refused to accept his buildings insurance claim for damage to his property.

background

Mr F's policy started in September 2017. He bought the property in January 2018 and shortly after moving in he noticed wet rot on most of the joists under two bedrooms. His neighbours told him the previous owners had a serious flood roughly two years before. Mr F claimed on his policy for the damage. Zurich didn't accept the claim. It felt it wasn't responsible for damage that happened before the policy started.

my provisional findings

I issued a provisional decision which explained why I didn't think the complaint should be upheld. The relevant parts of my provisional decision are outlined below.

- Mr F's policy covered damage caused to his property during the time it's in force, by a range of specific insured events. Based on that Mr F didn't have a valid claim because the damage he claimed for happened before the policy started.
- Mr F's complaint was largely based on a technical note on our website which comments on 'secondary flooding' (also referred to as latent flood damage). Secondary flooding is damage that a consumer discovers some time after a flood. What usually happens is that the insurer at the time of the flood settles a claim in good faith for the damage known about at the time, not realising there is other damage that was caused that hadn't been discovered. Problems arise when a consumer changes insurer after a flood and then discovers the damage some time later, or when a house is sold and the new homeowner finds the damage after they've bought it. In both cases, the current insurer usually declines to pay for the damage because they didn't insure the home when the damage occurred.
- The situation Mr F found himself in is similar to the latter situation. But I felt there was a subtle, but distinct, difference between secondary flooding and what had happened here. I didn't think the damage Mr F tried to claim for was secondary flooding. So I didn't think what we said in our technical note about secondary flooding applied in this case. That was because the original damage to Mr F's home wasn't caused by flood. And if there wasn't primary flood damage there couldn't be secondary flood damage.
- The original damage was caused by an escape of water – that is, water that escaped from a pipe, an appliance or some other water installation. Although an escape of water might 'flood' a property, the actual cause of the damage would still be the initial escape of water – if that didn't happen there wouldn't be any damage.
- I acknowledged that the difference between flood damage and escape of water damage might be a technicality. But neither secondary flooding nor 'secondary escape of water' is covered by a consumer's current policy. It's just that the industry decided in respect of a specific flood in the mid-2000s that the current insurer should accept a claim in the circumstances described above (unless the insurer could show that the damage wasn't caused by flood). And since then, we've often adopted a similar approach to complaints about claims for secondary flooding.

- I therefore concluded that Zurich had treated Mr F fairly when it refused his claim. That was because it was only liable for damage that occurred after the policy started. And I didn't think it was fair on Zurich for me to make it pay for damage caused by an escape of water before the policy started.

responses to my provisional decision

Mr F felt that my distinction between flood and escape of water wasn't in line with the definition of flood outlined in a technical note on our website. He felt a flood had occurred in his case as the source of the water was irrelevant.

Mr F also said my conclusion was based on his assumption when I spoke to him that the original damage was caused by an escape of water. He said that when speaking to me he made that assumption because the property is not close to a river or body of water. He's considered this further and has discovered that his property is in a medium to high risk area for a type of flood called Surface Water Flooding. He added that whilst carrying out some recent renovations a build-up of water was discovered in the floor void where the secondary damage occurred. He thought recent rainfall seems to have caused the build-up of the water. He felt this strengthened the case that the original cause of the flooding was external.

Overall, Mr F felt my conclusion was based on an incorrect definition of flood, which was then applied to a scenario that was speculation on his part – rather than the facts of the original claim.

I haven't heard further from Zurich.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Contractually, Mr F's claim isn't covered by his policy. That's because the terms and conditions say that damage occurring before the policy started isn't covered (irrespective of how it was caused). So the only reason why I would uphold this complaint is if I felt Zurich treated Mr F unfairly by applying the terms of the policy strictly. And that's where the argument about secondary flooding comes in.

I'm aware of what the technical note on our website says about the definition of flood and about secondary flooding. Specifically, I'm aware that water escaping from a pipe can cause a flood just as much as a river bursting its banks can (I said in my provisional decision that an escape of water might flood a property if it was severe enough). But I'm not persuaded that makes Zurich's decision to decline this claim unfair.

All we know, from what Mr F's neighbour said, is that the previous owner previously had a serious flood. We don't know what that actually means. For example, we don't know where the water came from; we don't know whether the water really led to a flood (ie did the water build-up and sit on top of the surface for a period of time or did it just seep away into the ground or flooring?); and we don't know what damage was caused. For me to conclude that Zurich treated Mr F unfairly because it didn't treat this as secondary flooding, I need more persuasive evidence than a neighbour simply saying that there was previously a serious flood.

Neither I nor Mr F knows what actually happened when the original claim was made (and I have no way of accessing the original claim file). So I must decide the case based on what I think most likely happened given the circumstances. My provisional conclusion was in part based on Mr F telling me when I spoke to him that the original damage was probably caused by an escape of water rather than by a flood due to natural causes. But, whilst it was speculation on his part, my conclusion was also based on the fact that the 'escape of water' scenario made sense and was the most likely – given where Mr F's property is situated and there being no evidence of damage being caused to neighbouring properties (which might be more likely if there was a 'natural' flood).

I note what Mr F has said about water being found in the floor void. But I don't think that adds to his case. There's nothing to say that what he found is similar to what the previous owner experienced. And there's nothing to say that what he found is actually what caused the original damage.

So overall my opinion remains as I originally outlined. I'm not persuaded it's been shown the damage the previous owner claimed for was caused by flood, as opposed to an escape of water. And I'm not persuaded it's been shown the previous insurer dealt with the claim as flood, as opposed to escape of water¹. So I'm not persuaded that Zurich should have treated the current claim as secondary flooding damage.

I therefore conclude that Zurich treated Mr F fairly when it refused his claim.

my final decision

I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr F to accept or reject my decision before 28 February 2019.

Paul Daniel
ombudsman

¹ To avoid any doubt, even if an escape of water causes a flood, my view is that the predominant cause of the damage was the escape of water – so it's not unfair for an insurer to deal with a claim on that basis.